

Term List:

Beginner (Questions 1-5)

- Deliberate curve, build confidence early

Question 1: Cash Flow – Business

- **Scenario:** Your shop made KSh 50,000 in sales this month, but customers owe you KSh 30,000 still unpaid, and your bills are due now. What's your real problem?
- **Options:** Low profit/ Too much stock/ **Poor cash flow**/ High interest rates
- **Score:** +4 correct/ -2 wrong

Question 2: Emergency Fund – Saving

- **Scenario:** Your motorbike taxi breaks down, and you have no income for 2 weeks. What would have protected you?
- **Options:** More stock/ A bigger loan/ **An emergency fund**/ More leverage
- **Score:** +4 correct / -2 wrong

Question 3: Diversification – Risk

- **Scenario:** A trader puts all her savings into one type of vegetable to resell. A pest wipes out that crop region wide. What could have protected her?
- **Options:** Buying more of the same vegetable/ **Selling several different vegetables**/ Borrowing more to buy in bulk/ Selling on credit
- **Score:** +5 correct / -2 wrong

Question 4: Working Capital - Business

- **Scenario:** A trader has KSh 100,000 worth of stock but only KSh 2,000 in cash and needs to restock urgently. What is she short of?
- **Options:** Profit/ Customers/ **Working capital**/ Collateral
- **Score:** +4 correct/ -2 wrong

Question 5: Collateral – Credit

- **Scenario:** A bank asks you to pledge your motorbike before approving a loan. What is the motorbike acting as?
- **Options:** Interest/ Principal/ **Collateral**/ Dividend
- **Score:** +5 correct / -2 wrong

Intermediate (Questions 6-11)

Question 6: Rule of 72 – Compounding

- **Scenario:** You invest KSh 1,000 at 7% interest per year. Using the Rule of 72, how long until it doubles?
- **Options:** 5 years/ **10 years**/ 15 years/ 20 years
- **Score:** +8 correct/ -4 wrong

Question 7: Inflation - Compounding

- **Scenario:** Inflation is running at 8% per year. If you hide KSh 1,000 under your mattress for a year, what is it really worth now?
- **Options:** KSh 1,080/ **KSh 920**/ KSh 1,000/ KSh 800
- **Score:** +10 correct/ -4 wrong

Question 8: Compound Interest - Compounding

- **Scenario:** KSh 1,000 earns 10% interest, compounded yearly, for 3 years. How much interest is earned in total?
- **Options:** KSh 100/ KSh 300/ **KSh 331**/ KSh 1,000
- **Score:** +10 correct / -5 wrong

Question 9: Break-Even Point - Business

- **Scenario:** Your stall's costs are KSh 2,000/day. You earn KSh 100 profit per item sold. How many items must you sell to break even?
- **Options:** 2/ 10/ **20**/ 200
- **Score:** +11 correct/ -5 wrong

Question 10: Liquidity - Risk

- **Scenario:** Which of these can you turn into cash the **FASTEST**, if you needed money today?
- **Options:** A plot of land/ **Shares listed on the stock exchange**/ A 5-year fixed deposit/ A stake in a friend's business
- **Score:** +10 correct/ -4 wrong

Question 11: Bull vs Bear Market - Investing

- **Scenario:** Prices on the exchange have been falling steadily for months and investors are nervous. What is this called?
- **Options:** A bull market/ **A bear market**/ A stock split/ An IPO
- **Score:** +12 correct/ -5 wrong

Advanced (Questions 12-15) – higher stakes

Question 12: Dividend Yield - Investing

- **Scenario:** A company share costs KSh 1,000 and pays a KSh 50 dividend per year. What is the dividend yield?
- **Options:** 0.5%/ **5%**/ 50%/ 500%
- **Score:** +15 correct/ -6 wrong

Question 13: P/E Ratio - Investing

- **Scenario:** A company's share price is KSh 150, and it earns KSh 10 per share. What is the P/E ratio?
- **Options:** 1.5/ 10/ **15**/ 150
- **Score:** +16 correct / -6 wrong

Question 14: Leverage - Risk

- **Scenario:** You use 2x leverage: KSh 1,000 of your own money controls KSh 2,000 of stock. The stock rises 10%. What's your actual return on your KSh 1,000?
- **Options:** 5%/ 10%/ **20%**/ 40%
- **Score:** +14 correct/ -5 wrong

Question 15: Margin Call - Risk

- **Scenario:** You bought shares on margin, borrowing half the money. The share price drops 40%. What happens to your own capital?
- **Options:** Down 20%/ Down 40%/ **Down 80%**/ Untouched
- **Score:** +20 correct/ -8 wrong

Bonus:

- "streak bonus" (e.g. +5 for 3 correct in a row)